

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$93.95 ▲ 0.47%	12M Price Target \$95.00	52-Week Range \$63.52 – \$153.86	Market Cap \$84.47B
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HOOD: Rally Extends, But Valuation Getting Stretched Here

WHAT HAPPENED

- HOOD is up ~8% in two days and just under \$94 — the catalyst is the Y Combinator startup fund news. In plain English: Robinhood is letting regular people invest in early-stage startups (something previously reserved for millionaires and VCs). That's a huge product expansion — new revenue stream, stickier users, and it plays right into the "democratize finance" brand.
- The Bloomberg piece about young men day-trading and feeling like failures is a yellow flag hidden in the noise — HOOD's core user is exactly that demo, and if engagement burns out or regulators pounce on "gamification," it hits the model.

WHY IT MATTERS

The YC fund launch is bigger than it looks — Robinhood is quietly turning itself into a full-stack wealth platform (stocks, crypto, retirement, now private markets), which means the market can start valuing it like a fintech ecosystem rather than a trading app. That's how you justify a premium multiple. But here's the tension: the stock has already ripped from \$63 to \$94 (up 48% off the lows) and today's volume is anemic (~4.5M shares vs. 20M+ typical) — meaning this last leg up is thin and could easily give back on any bad print. The options flow is screaming bullish (put/call at 0.39, meaning traders are buying 2.5 calls for every put), but a lot of that is chasing — not conviction.

POLICY & POLITICAL WATCH

The regulatory backdrop for HOOD is the friendliest it's been in years — the current administration has pushed crypto-friendly rules (the GENIUS Act framework on stablecoins passed last year), and the SEC under new leadership has backed off the aggressive enforcement posture that hammered HOOD in 2022-2024. Watch for movement on the SEC's "accredited investor" rule reform — if they lower the wealth threshold to let more retail into private markets, that YC fund product goes from novelty to massive revenue driver. Downside watch: any renewed push in Congress on "payment for order flow" (how HOOD makes money routing your trades to market makers) — it's been quiet but Elizabeth Warren has floated bills before, and that's ~40% of transaction revenue.

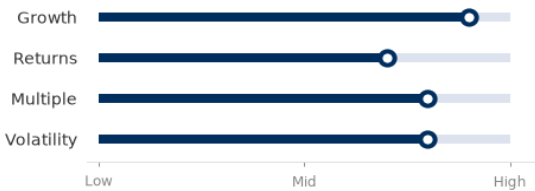
IS IT EXPENSIVE?

At \$84B market cap and ~50x forward earnings, you're paying \$50 for every \$1 of profit — that's roughly 2x what Schwab or Interactive Brokers trade at. The bull case says HOOD deserves it because revenue is growing 40%+ vs. single digits at legacy brokers, and the crypto/private markets optionality is real. But at 34% of the 52-week range and near recent highs, you're no longer buying the dip — you're buying momentum, and that's a different risk profile.

Key Data

Price (USD)	\$93.95
12M Price Target	\$95.00
Upside / (Downside)	+1.1%
Market Cap	\$84.47B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,300M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	50.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



HOOD — Robinhood Markets, Inc. | August 05, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$105.00	\$95.00	\$82.00
6 Months	\$130.00	\$100.00	\$75.00
1 Year	\$155.00	\$110.00	\$70.00
2 Years	\$200.00	\$135.00	\$65.00
5 Years	\$300.00	\$180.00	\$55.00
10 Years	\$500.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.56%) and Consumer Discretionary (+7% over 5 days) — signals a risk-on environment where retail is spending and speculating, which directly helps HOOD's trading volumes.

COOLING OFF: Communication Services is flat and Healthcare had a rough week — money is leaving defensive names.

ROTATION WATCH: Capital is rotating into cyclical and financials (+2.7% this week) — that's a tailwind for HOOD because it correlates with retail engagement and rising markets. When the S&P is grinding up, HOOD volumes go up.

RELATED PLAY: If retail trading stays hot, look at Coinbase (COIN) as the crypto-pure version of this trade, and Interactive Brokers (IBKR) as the "boring" version that also benefits from higher trading activity without the crypto beta.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-friendly regulatory wave — direct HOOD peer on the crypto side
- SCHW (Charles Schwab): Fidelity hitting \$20T in assets (per Barron's today) tells you the whole retail brokerage complex is booming — rising tide

HOOD CONTEXT: HOOD is leading the peer group on % gains off the lows but lagging on absolute scale — it's the high-beta way to play this theme. If you believe the retail-trading boom continues, HOOD outperforms; if it fades, HOOD gets hit hardest.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business and the policy backdrop, but the stock has run too far too fast to pound the table here.

POSITION SIZE: 2-4% — real upside but real volatility; this isn't a widow-and-orphan stock.

ENTRY POINTS: I'd wait for a pullback to \$80-85 (which is where the pre-rally consolidation was). Chasing at \$94 gets you shaken out on the first bad tape day.

TIME HORIZON: 12-24 months — the catalyst is the private markets/YC fund product scaling plus continued crypto tailwinds through 2027.

WHEN TO BAIL: If PFOF regulation resurfaces seriously in Congress, if crypto revenue drops more than 30% quarter-over-quarter, or if the stock breaks \$75 on volume.

HEDGING: Easiest hedge is just trimming — if you own it and it hits \$105, sell 25%. If you want to get fancy, buy 3-month puts at \$85 — costs you a little insurance premium but caps your downside if this thing rolls over.